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ECONOMIC SURVEYS

I. 2. b. 5.

IRELAND

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS FEBRUARY 1966

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousand sq.km.)	69
Agricultural area (av. 1961-1962/1964-65) as % of total area	68
Population of major cities, with suburbs, 1961 census:	
— Dublin	595,000
— Cork	116,000
— Dun Laoghaire	68,000
— Limerick	52,000

THE PEOPLE

Population (mid-1965)	2,855,000
Number of inhabitants per sq.km.	41
Increase in population:	
Annual average 1962-1965	10,000
Natural increase in population:	
Annual average 1962-1964	30,000
Emigration:	
Annual average 1962-65	20,000
Annual average per thousand of population	7
Labour force, total at work, April 1964	1,057,000
Employment in:	
— Agriculture, forestry and fishing	352,000
— Industry and construction	287,000
— Other sectors	418,000

PRODUCTION

Gross national product in 1964 (£ million)	934
GNP per head (U.S. dollars) (1964)	918
Gross fixed investment (1964) :	
— as % of GNP	19
— per head (U.S. dollars)	173
Origin of gross domestic product in 1964:	
— Agriculture	22 %
— Industry and construction	32 %
— Services	46 %

THE GOVERNMENT

Public current expenditure on goods and services, 1964 (as % of GNP)	13
General government current revenue, 1964 (as % of GNP)	26
Public debt, 31st March 1964 (as % of central government current revenue)	278
Composition of Parliament (April 1965):	
Fianna Fail	72 seats
Fine Gael	47 —
Labour	22 —
Others	3 —
Last elections: April 1965	

LIVING STANDARDS

Food consumption, calories per head per day (1964)	3,459
Average weekly earnings of industrial workers in September 1965 (in shillings)	217
Public current expenditure on education per head, in U.S. dollars (1963-1964).	24
No. of passenger cars in use per thousand of population (1965)	99
No. of telephones per thousand of population (year ended 31st March, 1965).	72
No. of radio and television licences per thousand of population (year ended 31st March, 1965)	184

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP, 1964	37
Main exports, 1964 (% of total domestic exports):	
— Live cattle	25
— Beef, fresh	5
— Textile manufactures	4
— Machinery and electrical goods	4
— Bacon	4
— Clothing	3
— Beer	3
— Butter	3
— Textile fibres and waste	2
Main customers, 1964 (% of total):	
— United Kingdom	72
— European Economic Community	12
— United States	5
Imports:	
Imports of goods and services as % of GNP, 1964	42
Main imports 1964 (% of total):	
— Machinery and electrical goods	17
— Chemicals, including fertilisers	8
— Vehicles	8
— Textile manufactures	7
— Petroleum	4
Main suppliers, 1964 (% of total):	
— United Kingdom	51
— European Economic Community	16
— United States	8

THE CURRENCY

Monetary unit: Irish pound.

Currency unit per U.S. dollar 0,357

ECONOMIC SURVEYS BY THE OECD

IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
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INTRODUCTION

For a number of years after 1958, when the first Programme for Economic Expansion was introduced, the Irish economy developed relatively fast without experiencing any serious loss of internal or external balance. In 1964 and 1965, however, with both prices and the current external deficit rising rapidly, the authorities were faced with an important threat to stability, which led to the adoption last year of a number of measures to redress the situation. Part I of the present Survey discusses the nature of the recent difficulties and the measures adopted to combat them. Part II considers prospects for 1966. Part III examines some longer-term policy issues related to the implementation of the second Programme for Economic Expansion and the free trade area agreement with the United Kingdom which takes effect on 1st July 1966.

I. DEVELOPMENTS IN THE ECONOMY DURING 1965

Trends in the Main Sectors of Demand

The volume of gross national product rose by 2 ½ per cent in 1965, compared with 4 per cent in 1964. A slowdown in the rate of growth was evident in all the main sectors of demand except stockbuilding. The most significant change, however, took place in exports of goods and services and it was largely the disappointing development in this sector which necessitated major adjustments of policy during the year.

At the time of the budget in May, 1965, a continued rise in GNP of about 4 per cent seemed likely—roughly in line with the experience of recent years and with the aims of the second Programme. No major policy changes were therefore made in the budget, although taxes were raised to finance an increase in public current expenditure. Evidence of a sharp deterioration in the trade balance, however, reflecting a levelling off in exports and a continued rise in imports, forced the Government to introduce a series of measures in July to restrict internal demand and improve the

balance of payments. The burden of adjustment was spread over the following headings:

— reduction of the public capital programme for 1965/66;

— restriction of government current expenditure;

— diversion of bank loans and advances mainly to productive purposes;

— encouragement of savings;

— discouragement of imports by means of credit and hire purchase restrictions;

— avoidance of further increases in personal incomes;

— the introduction of legislation to permit price control;

— greater export promotion, including the provision of larger market development grants.

At the same time the Government announced that renewed efforts were to be made to reach a successful conclusion to the trade negotiations with the United Kingdom and that the feasibility and desirability of external borrowing were to be examined.

The trade balance improved during the second half of 1965, following a recovery in exports, but the balance of payments position remained weak and the Government therefore felt it necessary to introduce further measures.

TABLE 1. **GROSS NATIONAL PRODUCT**

£ million.

	CURRENT PRICES		% CHANGE	1958 PRICES		% CHANGE
	1964	1965 (EST.)		1964	1965 (EST.)	
Personal consumption expenditure	664	710	+ 6.9	571	582	+ 1.9
Public authorities' current expenditure	120	126	+ 5.0	87	89	+ 2.3
Gross fixed capital formation	176	198	+ 12.5	154	169	+ 9.7
Change in stocks	+ 18	+ 25	+ 7[1]	+ 16	+ 22	+ 6[1]
Exports of goods and services	348	362	+ 4.0	307	309	+ 0.7
Imports of goods and services	— 392	— 419	+ 6.9	— 374	— 391	+ 4.5
Gross national product at market prices	934	1,002	+ 7.3	761	780	+ 2.5

1. £ million.

Source: Irish submission to OECD.

Towards the end of October, price control, for which the enabling legislation had been passed in August, was introduced. This was followed in November by the introduction of a levy on certain imports.

Consumption expenditure rose much less rapidly during 1965 than in the previous year. Personal consumption was affected by the Government's restrictive measures, and the growth of retail sales slowed down during the year, particularly in the second half. Current expenditure by public authorities also rose less rapidly than in 1964, when there had been a substantial increase in the pay of public employees following the ninth round wage agreement.[1]

Gross fixed capital formation continued to absorb a growing proportion of the national product in 1965. The rate of increase slowed down, however, influenced by the Government's measures to restrict public capital expenditure. Amongst individual sectors of investment, a rapid increase in expenditure on building and construction was again recorded, with the number of dwellings completed rising to about 10,600, compared with 8,100 in the previous year. Stockbuilding was at a particularly high level during 1965, in spite of an above-average increase in 1964. A major factor underlying this development was a large increase in cattle stocks, which were rebuilt following the high level of cattle exports in 1964.

Production and Employment

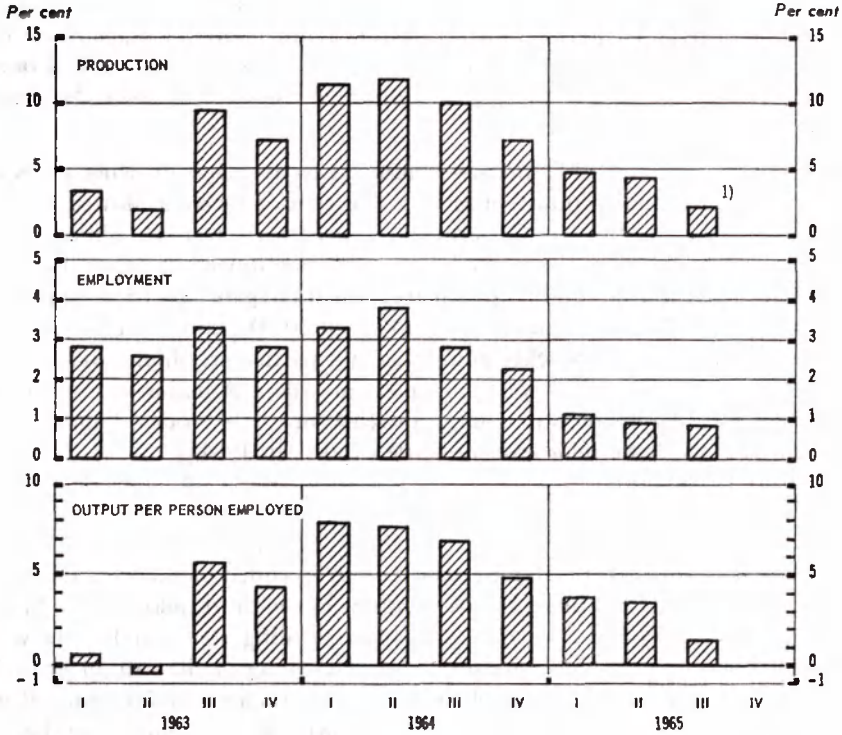
The rate of growth of industrial output declined steadily in the first three quarters of 1965 (diagram 1). Output in the third quarter was, however, substantially reduced by a prolonged printing strike and there was some recovery in the final quarter. The slackening in the rate of growth reflected the slower expansion of industrial exports and the levelling off in home sales as price increases absorbed a growing proportion of the rise in incomes.

Preliminary information indicates that net agricultural output fell by about 1 per cent in volume in 1965, compared with a rise of 4.4 per cent in 1964. The output of livestock and livestock products again rose substantially, but this was more than offset by a decline in crop acreage and yield. Between June 1964 and June 1965, the total number of cattle increased by 8 per cent to 5,359,000. The number of cattle under one year old increased even more rapidly; but owing to heavy sales in 1964, stocks of older cattle rose only slowly, and this was the major factor underlying the lower level of cattle exports during 1965.

1. The ninth round wage agreement resulted from discussions between the Irish Congress of Trade Unions and employers' representative bodies. It recommended a maximum rise of 12 per cent, or 20 shillings, whichever was the greater, for a full-time adult male worker. The application of the recommendation was left to bargaining between employers and unions in individual sectors, but was generally followed.

Diagram 1. **PRODUCTION AND EMPLOYMENT IN TRANSPORTABLE GOODS INDUSTRIES**

PERCENTAGE CHANGE FROM CORRESPONDING PERIOD OF PREVIOUS YEAR



1. Affected by printing strike.

Source: Quarterly Industrial Inquiry.

The upward trend of employment in transportable goods industries was maintained in 1965, although the rate of increase was appreciably less than in 1964. As industry has provided the bulk of new employment opportunities in recent years, and is expected to continue to do so in future, it was unfortunate that the slower rise in employment in this sector during 1965 should have coincided with a larger than usual decline in agricultural employment, which fell by about 14,000. The rise in services and in building and construction is unlikely to have been sufficient to compensate for

this more rapid decline, and there was probably a slight decrease in the total number at work. Unemployment and net emigration changed very little from their 1964 levels.

Costs and Prices

The consumer price index rose in the early months of 1965, but there was little change in the index from May onwards. The greater stability was the result of a decline in food prices from the high levels reached in 1964, when meat prices in particular had been high owing to a world shortage. Wholesale prices also showed a much more moderate upward trend than in 1964. The principal factor underlying the slower rise in industrial prices (Table 2) was almost certainly a slight reduction in unit wage costs, as wages account for a high proportion of the total cost of production in most industries.

One of the most noticeable features of the trend in costs and prices during 1964 and 1965 was the effect of the implementation of the 9th round wage agreement, which provided for a 12 per cent increase in wages at the beginning of 1964. The immediate result was a sharp rise in unit wage costs, which was in turn reflected in a rapid increase in wholesale and con-

TABLE 2. COST AND PRICE INDEX NUMBERS (1960 = 100)

		WAGE COSTS PER UNIT OF OUTPUT[1]	WHOLESALE PRICES		IMPORTS[2]	CONSUMER PRICES	
			MATERIALS FOR USE IN INDUSTRY	OUTPUT OF INDUSTRY		FOOD	TOTAL
1962		109	101.2	105.6	101	105.8	107.1
1963		111	103.0	107.0	103	107.3	109.8
1964		117	108.8	112.0	104	114.0	117.2
1963	IV	109.4	105.5	107.7	104	108.3	112.2
1964	I	115.0	106.4	109.2	105	108.8	112.8
	II	118.4	107.7	112.0	105	114.0	117.2
	III	117.4	109.8	112.9	105	115.6	118.7
	IV	116.9	111.3	113.8	106	117.7	120.0
1965	I	115.5	109.6	113.9	106	120.5	121.3
	II	116.1	109.1	115.7	107	123.5	123.4
	III		111.6	116.7	107	120.4	123.8
	IV					119.3	123.8

1. Based on seasonally adjusted output data for manufacturing industry.
1. Quarterly figures are averages of three months.

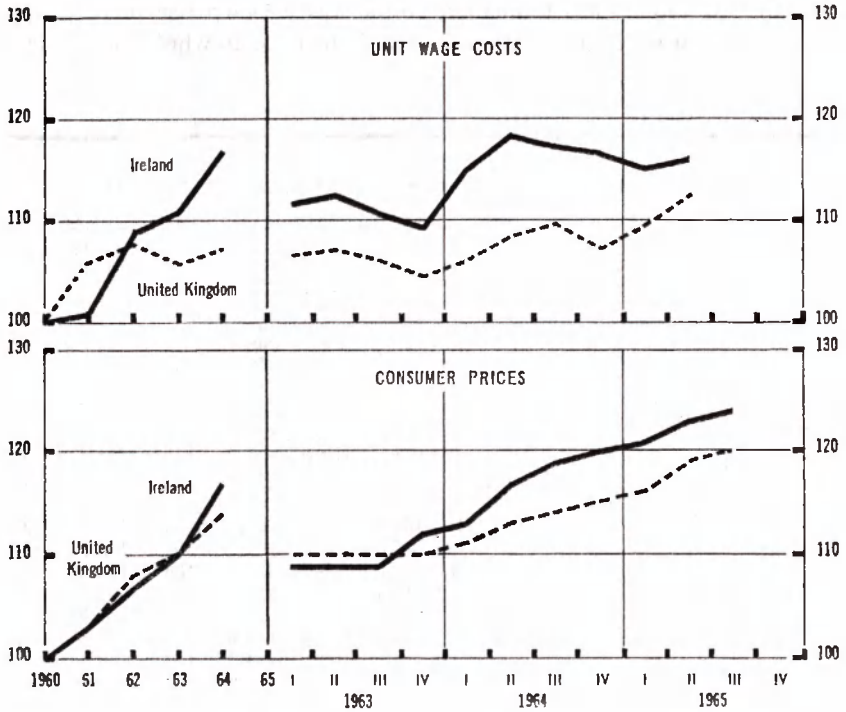
Sources: OECD Main Economic Indicators, Irish Statistical Bulletin and Report on Economic Situation, 1965 (National Industrial Economic Council).

sumer prices during the remainder of 1964. Once the effect of the wage increase had largely been absorbed, however, there was a levelling off and some slight decline in unit wage costs as output eventually caught up.

An examination of the trend in unit costs and consumer prices in Ireland and the United Kingdom (much the most important of Ireland's trading partners) suggests that Ireland has suffered some loss of competitiveness during the last few years (diagram 2). But the rapid rise in wages in the United Kingdom during 1965 afforded an opportunity for Ireland to recover some of the ground lost, and if the increase in wages agreed upon

Diagram 2. **UNIT WAGE COSTS AND CONSUMER PRICES IN IRELAND AND THE UNITED KINGDOM**

INDICES : 1960 = 100



Sources: OECD Main Economic Indicators, NIEC Report on Economic Situation, 1965.

during the 10th round negotiations is not out of line with the growth of productivity this gain may be maintained or even improved upon.

Fiscal and Monetary Developments

The current budget presented in May, 1965, provided for a substantial increase in expenditure on social and economic services. The rise in the former was primarily concerned with improving the education and social

TABLE 3. **PUBLIC SECTOR FINANCE**

£ million.

	FISCAL YEARS ENDING IN MARCH		
	1964-1965 ACTUAL	1965-1966 BUDGET ESTIMATE	1965-1966 ADJUSTED ESTIMATE (OCT. 1965)
I. Current Budget:			
1. Receipts	219.0	242.8	—
of which: Tax revenue (excluding motor vehicle duties)	176.6	196.8	—
— direct	60.7	68.4	—
— customs duties	55.7	60.1	—
— excise	42.9	49.8	—
— other indirect	17.3	18.5	—
Motor vehicle duties	8.8	9.4	—
Non-tax revenues	33.6	36.6	—
2. Expenditure	223.1	242.8	—
of which:			
Service of public debt	42.8	47.6	—
Social services	75.5	82.1	—
Economic services	47.9	53.4	—
General services	41.2	43.1	—
Other expenditures	15.6	17.1	—
Provision for outstanding pay claims and other contingencies		3.5	—
Deduct, allowance for errors of estimation		4.0	—
3. Deficit	4.1	—	—
II. Capital Budget:			
1. Sources of finance:			
— public funds[1]	68.1	72.3	69.2
— internal resources of semi-state bodies	17.1	15.2	16.8
— other borrowing[2]	12.6	16.2	14.3
2. Expenditure[3]	97.8	103.7	100.3

1. Provided mainly from Departmental funds, small savings and other borrowing.
2. Banks, insurance companies and issues of stocks.
3. Includes capital expenditure of Government Departments, state-sponsored bodies and local authorities.

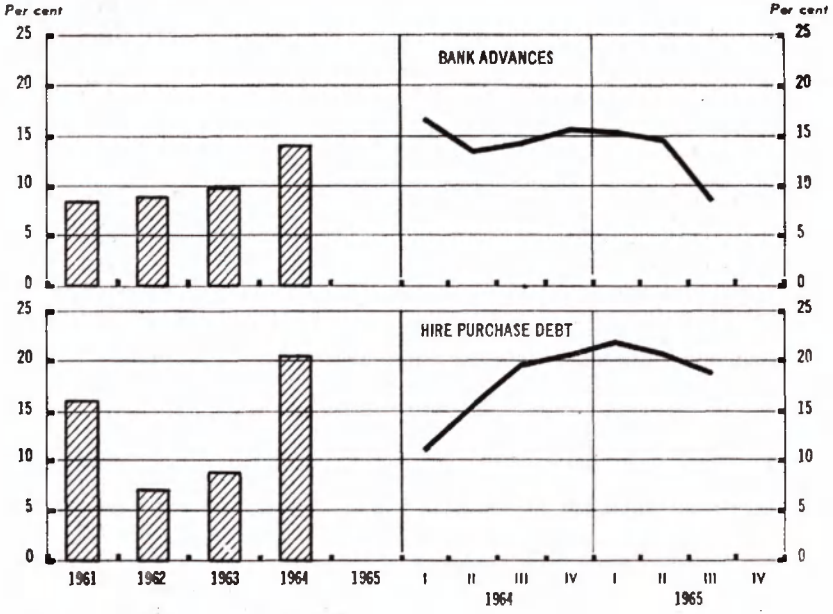
Sources: Budget 1965, White Paper on Public Capital Expenditure (October 1965).

welfare services; the higher expenditure on economic services mainly took the form of additional outlays on agriculture, including an increase in the milk support price. As the expected rise in revenue was insufficient to cover the higher expenditure, provision was made for an increase in taxes on tobacco, spirits, beer, wine, petrol and oils. The capital budget provided for expenditure of £ 103.7 million, an increase of almost £ 6 million over the previous year. Allowing for the rise in prices, this would have meant a faster rise in expenditure than that provided for in the second Programme. Because of the economic difficulties experienced later in the year, the Government decided in October to reduce capital budget expenditure to £ 100.3 million.

Bank credit (i.e. bills, loans and advances within the State) continued to expand in 1965, but less fast as the year wore on (diagram 3). In May the Central Bank advised the commercial banks that during the nine months ending 31st December 1965—later extended to the year ending 31st March 1966—the aggregate amount of their lending (comprising bills, loans and

Diagram 3. **THE TREND IN BANK ADVANCES AND HIRE PURCHASE DEBT**

PERCENTAGE INCREASE OVER PREVIOUS YEAR OR SAME QUARTER IN PREVIOUS YEAR



Source: Central Bank of Ireland.

NOTE. Annual data relate to end December, quarterly data to quarters ending in mid-January-April-July and October.

advances) should not expand, in relation to their resources within the State, as rapidly as during the year ended 31st March, 1965. Hire purchase debt continued to mount, but the inclusion of hire purchase controls amongst the Government's July measures resulted in a much slower rate of growth in the latter part of the year.

The growth of bank lending, combined with an increasing deficit on current external account and a shrinking net inflow of foreign capital, led to a further reduction in bank liquidity during 1965. By June, when bank liquidity is, for seasonal reasons, usually around its lowest point, the Central Bank ratio[1] had fallen to 17.7 per cent, compared with 23.6 per cent in the same month of 1964. During the remainder of the year there was some improvement in liquidity, even after allowing for seasonal influences, but the position nevertheless remained tighter than at the end of 1964.

The Balance of Payments

The current deficit rose from £ 31 million in 1964 to £ 44 million in 1965, reflecting a deterioration of the trade balance (see Table 4); exports remained at the 1964 level, while imports continued to rise, although less fast than in 1964. Net invisible earnings increased, largely because of the higher receipts from tourism.

TABLE 4. **BALANCE OF PAYMENTS**

£ million.

	1961	1962	1963	1964	1965 (ESTIMATED)
Trade balance	— 81.7	— 100.3	— 110.5	— 125.8	— 147
Merchandise exports (f.o.b.)	169.8	164.6	185.8	212.6	214
Merchandise imports (c.i.f.)	— 251.6	— 264.8	— 296.3	— 338.4	— 361
Net receipts from invisibles	82.9	86.8	88.4	94.3	103
Tourism	27.2	26.4	27.4	32.9	
Investment income	13.8	13.7	13.2	13.5	
Remittances, legacies, pensions, etc.	18.8	19.1	19.0	19.8	
Other net receipts	23.1	27.6	28.8	28.1	
Balance on current account	1.2	13.4	— 22.1	— 31.4	— 44
Capital movements	13.4	22.6	25.0	36.6	26
Change in reserves (— = increase)	— 14.6	— 9.2	— 2.9	— 5.2	+ 18

Source: Irish Statistical Bulletin.

1. The ratio of the associated banks' net external assets plus balances with the Central Bank, less bills rediscounted with the Central Bank, to their liabilities within the State on current and deposit accounts.

The slower growth of exports during 1965 was the outcome of a combination of developments which should prove to be temporary. Probably the most important single cause of the slower rise in total exports was a marked decline in shipments of cattle and beef, resulting particularly from the shortage of older animals. Net receipts from exports of cattle and beef fell by as much as £ 10 million between 1964 and 1965. The imposition of the 15 per cent special import charge by the United Kingdom at the end of October, 1964, (reduced to 10 per cent at the end of April, 1965) discouraged the expansion of exports of manufactured goods which could otherwise normally have been expected, and the slowing down of the growth of British economic activity since the beginning of 1965 further increased the difficulties.

TABLE 5. **DOMESTIC EXPORTS**

£ million.

	1964	1964				1965		
	YEAR	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
Agricultural, forestry and fishing produce	125.9	33.8	28.4	31.9	31.8	28.9	23.1	33.8
of which, cattle	54.8	17.0	12.8	12.2	12.8	13.6	7.6	11.3
Industrial	77.0	17.3	19.2	20.6	19.9	16.7	19.9	23.5
of which, machinery and transport equipment	12.4	3.5	2.1	3.0	3.8	1.9	2.1	3.7
Unclassified	14.5	3.4	4.3	3.5	3.2	3.5	3.8	5.0
Total domestic exports[1]	217.4	54.6	51.8	56.0	55.0	49.0	46.9	62.3

1. Excluding re-exports.

Source: Trade Statistics of Ireland.
NOTE. Because of rounding, figures do not always add to totals.

The continued rapid rise of imports was mainly associated with larger purchases of capital goods (including purchases of aircraft for the re-equipment of Aer Lingus), cereals, animal foodstuffs and consumption goods. The tendency for capital goods imports to increase markedly has been much in evidence in recent years (Table 6) and reflects the rapid growth of domestic investment called for in the second Programme—a question discussed at greater length later in this Survey. The higher imports of animal foodstuffs were also required to produce the increase in livestock envisaged in the Programme and to compensate for the fall in crop output in 1965. The rise in imports of consumption goods, however, was no doubt associated with the effects of higher incomes and prices in Ireland. The changing pattern of imports is shown in the following table.

TABLE 6. **DISTRIBUTION OF IMPORTS ACCORDING TO MAIN USES**

Per cent.

	1961	1962	1963	1964	JAN.-SEPT. 1964	JAN.-SEPT. 1965
Producers' capital goods ready for use...	13.4	14.4	15.4	15.0	15.4	17.0
Consumption goods ready for use.....	20.7	21.0	21.2	20.5	19.8	20.7
Food, drink and tobacco.....	6.1	6.3	6.5	5.7	5.7	6.0
Other	14.6	14.7	14.8	14.8	14.1	14.7
Materials for further production.....	61.2	60.5	59.1	60.9	60.8	59.1
Agriculture.....	5.1	5.8	5.5	4.8	4.4	4.7
Other	56.1	54.8	53.6	56.2	56.4	54.3
Unclassified	4.7	4.2	4.3	3.6	4.0	3.3
Total.....	100.0	100.0	100.0	100.0	100.0	100.0

Source: Trade Statistics of Ireland.

Since imports remained high in spite of the measures already taken to restrict the growth of domestic demand, the Government decided at the beginning of November 1965 to impose a 15 per cent ad valorem duty on imports of certain finished consumer goods (to comply with treaty obligations, the duty was limited to 10 per cent on certain imports of United Kingdom and Canadian origin). Practically all foodstuffs were exempted from the levy and, to avoid undesirable effects on employment and production, goods required for further manufacture or assembly, for agricultural purposes, or as equipment for industrial and commercial undertakings were exempted so far as possible. The categories of goods affected amounted to about 7 ½ per cent of total imports in 1964, worth £ 22 ½ million. The levy came into operation on 2nd November, 1965, and is due to expire on 31st March, 1966.

After rising to almost £ 37 million in 1964, the capital inflow declined to a more normal level of £ 25-30 million in 1965. Tighter monetary conditions in the United Kingdom and the measures taken by the British and U.S. authorities to restrain the outflow of capital made it difficult to attract funds from abroad. The Government's plans to raise additional capital through the issue of $ 20 million of bonds in the United States had to be deferred owing to the heavy demands being made on the U.S. market. With the current account deficit amounting to £ 44 million and the capital inflow to only £ 25-30 million, the difference had to be financed by a reduction in external monetary reserves. By end-December 1965, these had fallen to £ 224 million. While they still represented as much as some seven months' merchandise imports, the Government considered it desirable to strengthen them by drawing $ 22 ½ million from the International Monetary Fund in January of this year.

II. PROSPECTS FOR 1966 AND SHORT-TERM POLICY PROBLEMS

On the basis of present trends and policies, output should expand somewhat faster than in 1965, largely because of a recovery of exports. Certain of the factors which served to hold back exports in 1965 may still be operative in 1966; the slowing down of the expansion in the United Kingdom, which takes over two-thirds of Ireland's exports, will probably continue, and it is not clear when the U.K. import surcharge will be removed. But the supply of cattle, which limited exports last year, will increase considerably in 1966, and Irish exports affected by the free trade area agreement with the United Kingdom—notably textiles, cattle and other agricultural products—should be encouraged. The agreement seems likely to result in an immediate net benefit to the Irish trade balance since the provisions affecting Irish exports will be implemented immediately, whereas the reduction in Irish tariffs will be phased over a period of years.

Domestic demand should continue to expand. Gross fixed asset formation may rise less fast than in 1965, influenced by the restrictive measures taken last summer. These measures should also have some effect on private consumption, but this will depend heavily on the outcome of the tenth wage-round. Overall, the expansion of total demand still seems likely to fall short of the 4 per cent a year envisaged by the second Programme for Economic Expansion. But as the major tasks of economic policy in 1966 must be to prevent any further important rise in prices and to reduce the external deficit, there cannot be much scope for a relaxation of demand restraints until there are clear signs of success in these directions.

Price movements will to a large extent depend on the outcome of the tenth wage-round; existing wage contracts expire at the end of June. The OECD's Economic Survey of Ireland for 1965 stressed the need for a wide-ranging incomes policy in the context of Ireland's economic situation; strong support for this view was recently expressed in a Report by the National Industrial Economic Council[1] which has been accepted in principle by the Government. So far as the present negotiations are concerned, it is essential to bear in mind that, given the strong rise in costs and prices in recent years and the existing balance of payments deficit, the scope for income increases is relatively small. If a longer-term wage agreement should again be concluded, it is important that the increases agreed upon should be phased out over the agreement period rather than, as in 1964, granted in their entirety at the beginning of the period.

The rise in exports which now seems likely should lead to an improvement of the current balance of payments in 1966. Imports will no doubt

1. Report on Economic Situation, 1965.

continue to rise, but probably less fast than exports; and the upward trend in net invisible receipts should continue, largely because of a further increase in tourist earnings. Income from tourism, one of the mainstays of the rise in invisible receipts in recent years, benefited in 1965 from the introduction of improved car ferry facilities on the sea route between Ireland and the United Kingdom; the encouraging response to this development suggests that there is still substantial scope for developing this source of income.

But the current deficit, although falling, may well remain large. Since there would seem to be little prospect of an early relaxation of the restraints at present applied by the United Kingdom and the United States, the capital inflow may not be any greater thann 1965. This may well entail some further decline in the foreign exchange reserves, although a much smaller one than in 1965.

III. LONGER-TERM POLICY ISSUES

Progress Towards the Second Programme's Targets

Part I of the second Programme aimed at an increase in real gross national product of 50 per cent between 1960 and 1970, in line with the collective growth target which OECD countries set for themselves for this period. This is equivalent to an annual increase of 4.2 per cent, the rate achieved during the first Programme (1958-1963). Allowing for the increase in GNP in the years 1960-1963, a growth in real national product of 34 per cent, or 4.3 per cent a year, will be required between 1964 and 1970,

TABLE 7. EXPENDITURE ON THE GROSS NATIONAL PRODUCT AT CONSTANT (1960) PRICES

£ million.

	1960	1963	1964	1965 (EST.)	1970[1]
Personal consumption expenditure	495.8	544.9	575	586	709.0
Public authorities' current expenditure	78.4	88.4	92	94	134.0
Gross domestic capital formation	100.1	148.9	171	191	186.0
Exports of goods and services	254.3	306.7	323	325	446.0
Imports of goods and services	— 255.1	— 332.2	— 373	— 390	— 462.0
Gross national product at constant market prices	673.5	756.7	788	806	1,013.0

1. Second Programme estimates.

Source: Second Programme for Economic Expansion.

the period covered by the second Programme. This section compares the progress made to date with the aims set out in the Programme. There are three main areas where deviations are so important that they may call for revisions.

First, gross domestic capital formation has increased much faster than envisaged, with the ratio of gross investment to GNP rising from 15 per cent in 1960 to 24 per cent in 1965; the Programme expected the ratio to rise to only 18 per cent in 1970. By 1964, when the Second Programme was drawn up in detail, it was already apparent that the rise in investment might have been underestimated, and reservations to this effect were made by the authorities. But no revision of the investment needs of the Programme has yet been made.

The sharp increase in investment has no doubt been caused by some bunching of capital expenditure on machinery and equipment. The grants towards the cost of re-equipment and adaptation introduced in 1962 have inflated this form of investment in recent years. The increase may later slow down, although the final date for benefiting from adaptation grants and loans has now been extended to December, 1967. Moreover, there are indications that investment in certain types of building and construction has increased more than planned, and that this could be restrained without any serious adverse effects on the growth rate of the economy. Measures have already been taken to reduce public outlays on building and construction. Some restraint on privately-financed projects may also be desirable. It may therefore be possible to slow down the growth of total investment in the remaining years covered by the Programme, but it still seems that achievement of the growth target will require a higher rate of investment than was envisaged earlier.

TABLE 8. **PERCENTAGE DISTRIBUTION OF GROSS DOMESTIC CAPITAL FORMATION**

BASED ON DATA AT CONSTANT (1958) PRICES

Per cent.

	1960	1961	1962	1963	1964
Dwellings	14.8	14.0	13.8	14.6	16.5
Other building and construction	34.7	34.6	34.7	34.8	34.1
Transport equipment	12.9	14.6	13.3	11.9	11.8
Agricultural machinery	4.5	5.3	4.3	4.4	4.1
Other machinery and equipment	22.7	24.7	25.7	26.9	24.1
Change in stocks	10.3	6.8	8.2	7.3	9.4
Total gross domestic capital formation	100.0	100.0	100.0	100.0	100.0

Source: National Income and Expenditure.

Second, imports have risen much more than expected. To some extent this can be ascribed to higher imports of consumer goods, although private consumption has increased very much as expected and the increase in public consumption has fallen short of the projected trend. But the main reason has been the strong increase in investment. A high proportion of machinery and equipment has to be imported. Moreover, although the import content of building and construction expenditure is relatively small, the increase in this type of activity has represented an additional strain on resources.

With exports rising roughly in line with the Second Programme estimates, the current external deficit has been much higher than the £ 16 million a year (in 1960 prices) postulated by the Programme (Table 7). Savings (including depreciation provisions) have risen much as anticipated, so that the higher investment has been borne by the balance of payments.

TABLE 9. SAVINGS AND GROSS CAPITAL FORMATION

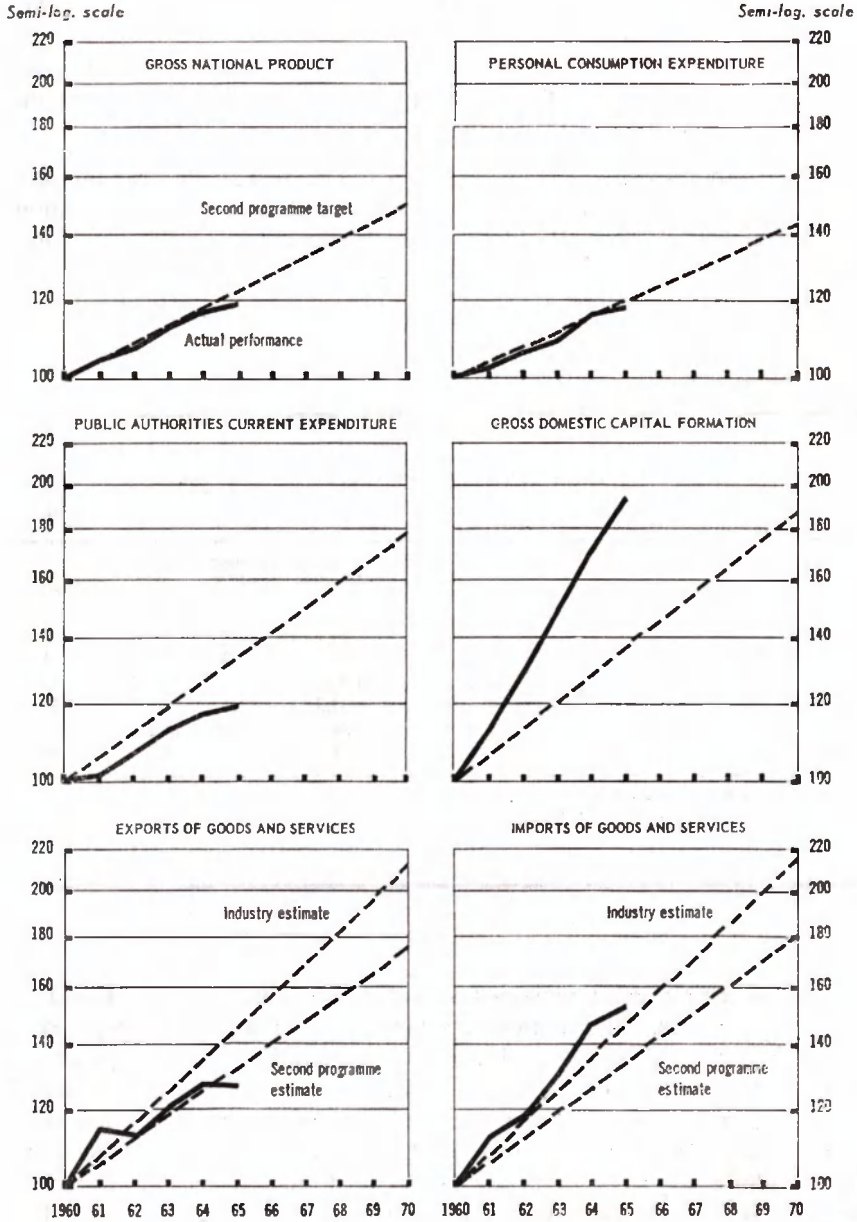
£ million.

	CAPITAL FORMATION	CURRENT SAVINGS	DÉPRÉCIATION	FOREIGN DISINVESTMENT[1]
1960	100.1	59.7	39.6	+ 0.8
1961	116.6	73.3	44.5	— 1.2
1962	139.5	74.9	51.2	+ 13.4
1963	160.3	82.5	55.7	+ 22.1
1964	194	102	61	+ 31
1965	223	112	67	+ 44

1. Plus sign indicates a balance of payments deficit.
Source: National Income and Expenditure.

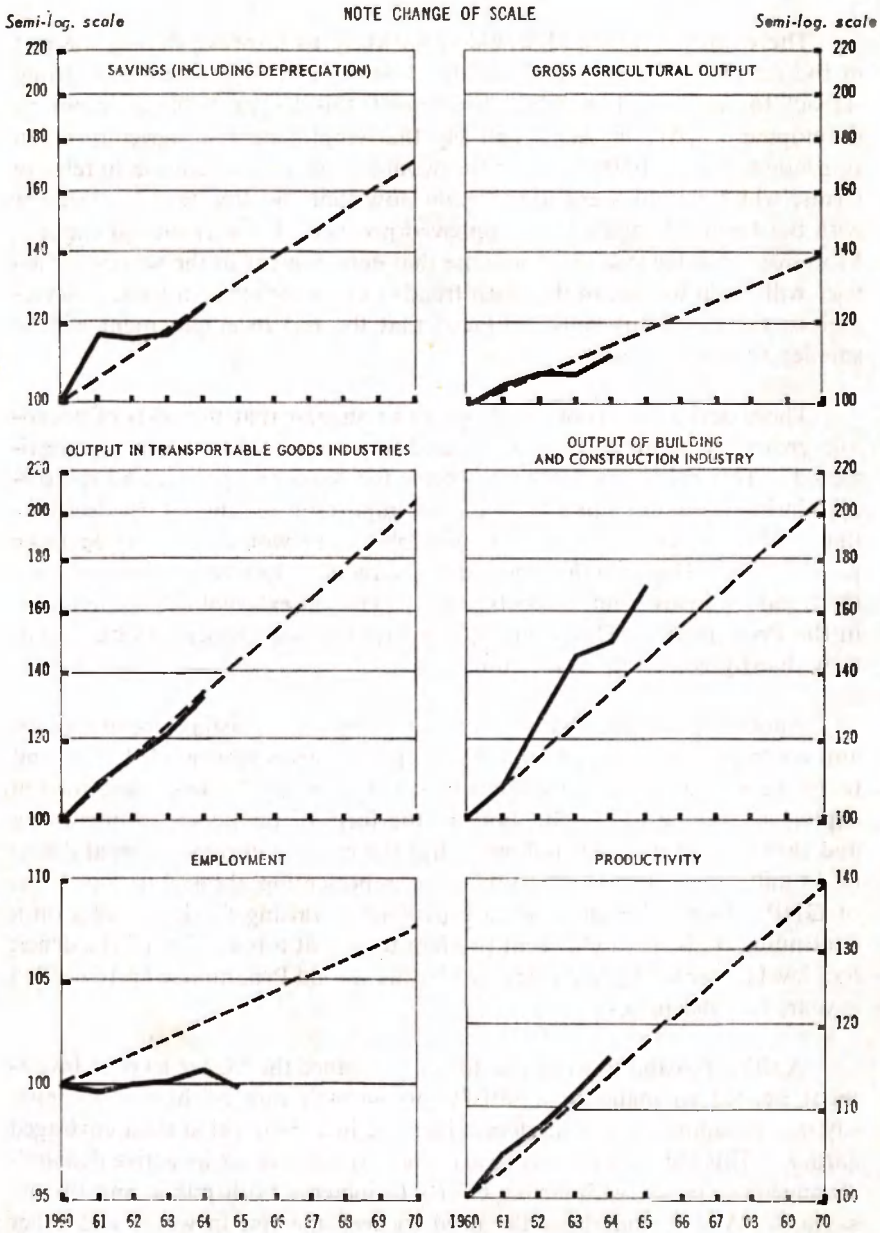
Third, employment remained virtually static during the first half of the 1960's, whereas the Programme assumed an increase of 7 to 8 per cent over the decade. The expected declines in emigration and unemployment have therefore not been achieved. Industrial employment has increased rather faster than envisaged, but contrary to expectations, the available statistics show little or no increase in the service sectors, and employment in agriculture, forestry and fishing has declined much faster than expected. Since 1960, agricultural employment has fallen on average by some 10,000 a year, with little sign of abating, while the Programme had assumed a decline of less than 7,000 a year. To some extent the failure of total

Diagram 4. **A COMPARISON OF ACTUAL AND PROJECTED INDICES**



Source: Second Programme for Economic Expansion.

PERFORMANCE UNDER THE SECOND PROGRAMME
1960 = 100



employment to rise can be ascribed to a faster-than-expected increase in productivity, notably in agriculture. In itself this is clearly a desirable development, but it raises the problem of how an increase in employment could be achieved.

The employment trend would seem likely to improve during the rest of the decade. The slowdown of the expansion in 1965 acted as a strong setback to the rise in industrial employment; this was probably a temporary development. And it seems unlikely that employment in agriculture can continue to fall by 10,000 a year; this would mean an acceleration in relative terms, which would seem improbable now that the free trade agreement with the United Kingdom has improved prospects for agricultural exports. Moreover, it is reasonable to assume that employment in the service industries will begin to rise, in line with trends in most other countries. Nevertheless, the possibility must be faced that the rise in employment will be smaller than envisaged.

These deviations from the Programme suggest that the costs of economic growth in terms of investment and imports may have been underestimated. This raises important problems for economic policy, and the disappointing trend in employment has an important bearing on the decisions that will have to be taken. In principle, there would seem to be three possibilities. The growth target could be reduced to a rate consistent with the trends in investment, imports, and the current external deficit envisaged in the Programme. This would accentuate the employment problem and, thus, hardly constitute a solution,

Another possibility would be to maintain the existing growth target and try to finance a higher external deficit. It seems reasonable for Ireland to try to accelerate the development of the economy by importing foreign capital as is done at present, both in the form of public sector borrowing and through autonomous inflows. But the existing current external deficit (£ 44 million in 1965) is relatively large, representing about 4 to 5 per cent of GNP. Given the uncertainties involved in raising foreign capital on a continuing basis, it would seem prudent to aim at a reduction of the deficit to a level closer to the rate envisaged by the second Programme (£ 16 million a year, in 1960 prices).

A third possibility would be to try to finance the higher level of investment needed to maintain a satisfactory growth rate by higher domestic savings, entailing a more moderate increase in consumption than envisaged earlier. This may not be easy to achieve. It will require an active demand-management policy with strong efforts to increase both public and private savings. And it underlines the need to keep the rise in wages and other incomes in line with what the economy can afford, given the employment target and the constraint represented by the balance of payments.

The Move Towards Freer Trade

The free trade area agreement with the United Kingdom will have an important bearing on future economic developments in Ireland. This section reviews the circumstances surrounding the negotiations for the agreement and its principal provisions, and discusses some important implications for economic policy.

In recent years (with the exception of 1965, which was affected by the special factors noted earlier) the main impetus to the rise in Irish exports has come from sales of cattle and manufactured goods, particularly metals and metal manufactures, machinery and equipment (Table 10). The increased exports of cattle have gone mainly to the United Kingdom, where Irish store cattle, if fattened on local farms for a period of three months, have benefited from the guaranteed prices under the UK guaranteed fat-stock price scheme. In 1965, when there was a world shortage of beef, cattle sales to other countries also rose markedly, particularly to the EEC area. The rise in exports of manufactured goods has been more widespread. In value terms, much the biggest increase has taken place in sales to the

TABLE 10. **EXPORT TRADE BY MAIN COMMODITIES**

£ million.

	1961	1962	1963	1964
Cattle	44.2	36.2	41.6	54.8
Other live animals	7.2	7.7	7.4	8.2
Beef	21.5	17.3	17.8	15.9
Other meat and meat preparations	12.4	14.7	16.1	18.5
Milk, butter and cheese	6.3	8.1	11.2	12.8
Hides, skins, wool and other agricultural products	14.3	14.1	18.5	13.6
Total agricultural exports	105.9	98.1	112.6	123.8
Fish and forestry exports	1.4	1.8	1.9	2.1
Drink, tobacco and confectionary	14.3	14.2	14.1	15.7
Textiles, yarns, fabrics, etc.	6.6	7.1	7.6	9.6
Machinery and equipment, metals and metal manufactures	6.5	7.2	11.7	17.2
Clothing and footwear	6.3	6.2	6.8	8.7
Other industrial exports	19.7	20.1	22.0	25.8
Total industrial exports	53.4	54.8	62.2	77.0
Parcel post and temporary transactions	14.5	14.2	14.8	14.5
Re-exports	5.3	5.5	4.6	5.0
Total exports	180.5	174.4	196.0	222.4

Source: Budget Economic Statistics.

United Kingdom; but the growth in sales to other EFTA countries, EEC and North America has been very rapid; between them, the latter two areas now account for 17 per cent of manufactured exports (Table 11).

As Ireland is not a member of either of the two main trading blocs, the increase in exports of manufactured goods has been particularly encouraging, achieved despite the tariff walls which have had to be surmounted. But the formation of trading blocs in Europe, comprising most of Ireland's main markets, represents a threat to the long-term growth of her exports. Both EFTA and the EEC include important suppliers of industrial and agricultural products. Irish exports are, therefore, being placed at an increasing disadvantage as restrictions on trade within these blocs are removed. It was this threat, and the prospect of greater isolation, which among other considerations prompted the Irish Government to apply for membership of the EEC in 1961 when the United Kingdom negotiated for entry to the Community.

The breakdown of the negotiations between the United Kingdom and the EEC, following which Ireland's application for membership was suspended, removed some of the urgency surrounding the search for participation in a wider trading area, but it did not remove the longer-term problem. Ireland's export trade was confronted with a new problem when the United Kingdom imposed the 15 per cent import charge on a wide range of manufactured goods in October, 1964. Under the Anglo-Irish trade agreements of 1938, 1948 and 1960, Irish agricultural and industrial products, with some important exceptions, had been guaranteed duty-free access and certain other advantages (but not including guaranteed entry free of quantitative restriction) in the United Kingdom market. In return, preferential tariff treatment was accorded to UK goods imported into Ireland. In spite of these agreements, however, the United Kingdom Government felt unable to exempt Ireland from the effects of the surcharge, and it immediately became apparent that one of the cornerstones of Ireland's trading policy, the assumption of duty free access to the United Kingdom market, had been removed overnight.

To obtain firmer guarantees for the right of entry of Irish goods to the UK market, negotiations were subsequently entered into with the United Kingdom Government; these led to the signing of the new free trade area agreement. The main provisions of the agreement are set out in an Annex to this Survey. From Ireland's point of view, perhaps the main benefits of the agreement are, first, that the important exports of store cattle, sheep and lambs to the UK market are now assured, whereas under the previous agreements the United Kingdom had the right to control imports of these animals if this was considered necessary in the interests of orderly marketing. Firmer guarantees have, in addition, been obtained for all other agricultural exports, which were also liable to regulation in the interests of orderly marketing. On the industrial side, the removal of UK import duties on goods

TABLE 11. EXPORTS BY MAIN REGIONS AND PRODUCT GROUPS, 1964

£ thousand.

	UNITED KINGDOM	OTHER EFTA[1]	EEC	NORTH AMERICA[2]	IRELAND (TEMPORARY EXPORTS)	OTHERS	TOTAL
Live animals, food, beverages and tobacco	108,085	1,629	17,568	5,134	2,699	4,421	139,536
Raw materials except fuels	5,448	241	2,201	606		1,082	9,578
Manufactured goods classified by material	20,165	428	1,969	1,346		1,240	25,148
Machinery and transport equipment	5,087	442	1,819	2,956		2,058	12,362
Manufactured goods n.e.s.[3]	12,348	246	1,123	1,126	1	1,958	16,802
Other exports	5,395	290	397	1,544	6,175	399	14,200
Total	156,528	3,275	25,079	12,711	8,875	11,157	217,625

1. Including Finland.
2. Including U.S. forces overseas.
3. Including chemicals.

Source: Trade Statistics of Ireland.

containing man-made fibres should be of substantial benefit to the textile industry, which has experienced difficulties in selling to the United Kingdom because of the high level of tariffs.

Since the rest of Irish industry already enjoys free access to the UK market, the new agreement does not represent any improvement in existing marketing prospects. On the other hand, Irish industry will gradually lose its protection vis-à-vis British producers. This probably means that industry will have to undergo an extensive process of adaptation in order to compete on an equal footing with British industry. This process of adaptation will have to be completed before the end of the transitional period, as tariffs for most industries will have ceased to act as an important protective barrier well before then; present industrial tariffs mainly fall in the 33 1/3 to 50 per cent range.

To assess the implications of freer trade for industry, and to advise on the measures necessary for adaptation to meet greater competition, the Government arranged for surveys of individual sectors of industry to be carried out by the Committee on Industrial Organisation (CIO), the Industrial Reorganisation Branch of the Department of Industry and Commerce, and the Department of Agriculture (on food processing industries). These investigations were started in 1961, when it seemed that both Ireland and the United Kingdom might soon become members of the EEC, and are not, therefore a true indication of expectations under the new agreement with the United Kingdom alone (the Government is at present preparing a report on the implications of the new agreement). They are, nevertheless, a useful pointer to the probable effects of freer trade on Irish industry. The principal conclusions of these investigations were that extensive reorganisation would be required in most sectors of industry, and that unless the recommended measures for adaptation were undertaken, there would eventually be severe repercussions on employment in the industries concerned. The only other extensive investigations into the implications of freer trade have been carried out by the Federation of Irish Industries. The Federation's enquiries, which covered the periods 1960-70 and 1970-75, revealed that manufacturing industry expects that, as a result of the new agreement with the United Kingdom, output will, if anything, expand rather faster over the period 1960-70 than is anticipated in the Second Programme, but that there will be a slower rise in output in the latter period, when competition from the United Kingdom will become more intense.

Following recommendations made by the CIO, the Government introduced a series of measures designed to assist the structural reorganisation of industry. The principal measures included special grants amounting to 25 per cent of the cost of new building and equipment, loans through the Industrial Credit Company, with waiver of interest payments and deferment of capital repayments for periods up to five years (these measures were announced in 1962, with retrospective effect to December, 1961) and an

increase in the initial tax allowance on industrial plant and equipment (effective since April, 1962). In the period to 31st December, 1965, grants and special loans for enlargement and adaptation of industry amounting to almost £ 9 million were approved, involving a total capital investment in excess of £ 42 million. The scheme, which was due to expire on 31st March 1966, has now been extended to 31st December 1967, while the increase in initial allowances has been extended beyond the original time limit of 31st March 1965.

Similar schemes have been introduced to encourage the modernisation of agriculture. Grants are available for the reconstruction of farm buildings and to assist in financing new buildings and equipment. Steps have been taken to ensure adequate credit facilities for farmers. A costly programme was undertaken which resulted in the eradication of bovine tuberculosis.

On the manpower side, the Government set out its new policy in a White Paper issued in October, 1965. The main features of the policy are:

i) the forecasting of the probable future demand for, and supply of, labour including forecasts of the requirements for different types of skilled labour;

ii) a redundancy payments scheme;

iii) improved arrangements for training of workers and the introduction of arrangements for re-training workers;

iv) a scheme for offering financial assistance to the unemployed in order to encourage labour mobility;

v) the development of a more comprehensive Employment Service;

vi) the creation of a Manpower Agency under the Minister for Industry and Commerce to undertake overall responsibility for development of manpower services.

These measures represent a significant advance in Government policies. It is too early to judge just how effective they will be, but they should do much to provide the right environment for facilitating the change to a more competitive economy. Further measures may prove necessary. It will, for example, be essential to ensure that the new machinery for implementing the manpower policy functions effectively. An additional question which will require close attention is the need to ensure that adequate housing is made available in areas to which labour must be attracted; experience in many other countries has shown that housing is the most important single factor influencing the geographical mobility of labour. Further aids to mobility, such as arrangements for the transfer of pension rights on change of employment, may also have to be considered.

Recognizing that the structural changes in industry could aggravate the imbalance already existing between levels of income and employment in

different regions, the Government has recently instituted a new regional policy, based on the concept of encouraging growth points. Continued encouragement is also being given to foreign investment in Ireland. Inducements for such investment may prove even more essential with the advent of freer trade, if foreign industrialists are to be persuaded to set up plants in Ireland rather than attempt to supply the Irish market from the United Kingdom.

While the Government can do much to ensure that the transition to a more competitive economy takes place successfully, it alone cannot do all that is required. The co-operation of a wide variety of interests in industry and agriculture is also needed. It is particularly important that the Government should try to ensure the active co-operation of employers and employees in the major reorganisation which will have to take place in industry, because of the effects which failure to modernise equipment and practices could have on the level of unemployment. Care will also have to be taken to ensure that in those industries where some retrenchment is necessary, the run-down is properly phased and controlled.

IV. CONCLUSIONS

The following main conclusions can be drawn from this Survey:

a) The slowdown of the expansion in 1965 was heavily influenced by the flattening of the rise in exports. This was partly a temporary development, so that an acceleration of the expansion would seem likely in 1966. The growth rate may still fall short of the annual increase of more than 4 per cent called for by the second Programme for Economic Expansion. But renewed stimulus to the economy can only safely be given when there is clear evidence of a satisfactory improvement in the foreign balance.

b) The movement of prices in the second half of 1965 gave grounds for hoping for a more stable price trend. But much will depend on the outcome of the tenth wage-round; if it results in a long-term agreement, it will be important to ensure that the increases granted are more evenly phased over the period of the agreement. An important task for the authorities and all parties concerned is to ensure that the rise in wages and other incomes is kept within the limits set by the need at least to maintain and where possible to improve the competitive position of Irish industry. If the rise in incomes should prove to be appreciably higher than the growth of productivity, serious consideration would have to be given to the use of fiscal measures to counteract the expansionary effect on

demand; the detrimental effect on costs and prices would, unfortunately, remain.

c) With renewed expansion of exports, the external balance should improve in 1966. But the current deficit may well remain large, and could entail some further reduction of the foreign exchange reserves. There seems little prospect at present of an increase in the capital inflow.

d) There are indications that the rise in investment and imports needed to sustain the growth rate aimed at in the Second Programme has been underestimated. At the same time, the rise in employment has fallen short of the long-term target. These developments may call for some revisions of the Programme—and it is only reasonable to expect that a programme of this nature will need to be modified in some respects as time passes. It would seem important to maintain the growth target, given the desirability of creating adequate employment openings. But since it would seem prudent to aim at a reduction of the existing relatively large current external deficit, the investment required for the achievement of the growth target will have to be financed by higher domestic savings. This will require very successful demand management and incomes policies.

e) The free trade area agreement with the United Kingdom will provide important and immediate increases in the outlets for Irish exports, notably of agricultural products. Irish imports will be affected more gradually since tariffs will be reduced over a ten-year period. The Government has already taken a number of measures to encourage and facilitate the adaptation of industry to the requirements of free trade. Further measures may well be needed to assist labour and management in the rapid structural change that will be entailed, and to reduce as far as possible the impact of the change on those directly involved.

* * *

Annex

THE FREE TRADE AREA AGREEMENT WITH THE UNITED KINGDOM

The main provisions of the agreement are set out below:

Agricultural products

i) A guarantee of unrestricted access to the United Kingdom for Irish store cattle, store sheep and store lambs, and a reduction from three to two months in the waiting period before these animals qualify for guarantee payments under the British fat-stock guarantee scheme. In addition, the UK Government has undertaken to extend annually to 25,000 tons of Irish carcase beef and to 5,500 tons of carcase lamb exported to the UK the full benefit of the guarantee payments made under the fat-stock guarantee scheme to British producers.

ii) The British Government has agreed to increase the basic quota for imports of Irish butter from 12,905 tons to 23,000 tons for the quota year 1966/67 and to aim to provide reasonable opportunity for growth in the quota in subsequent years.

iii) Duty-free access to the UK market is provided for all Irish agricultural, horticultural and fishery products. In the case of Irish store cattle, sheep and lambs, unrestricted access is guaranteed for all time. With regard to other agricultural products, the UK Government has undertaken that access can only be restricted in the context of international commodity agreements which apply to imports into the UK from all substantial sources of supply and which also provide for the regulation of British production or marketing of the products in question. In connection with any such international commodity agreement, the UK Government has undertaken to give special consideration to the export projections in Ireland's Second Programme and, should any future international commodity agreement take the form of a minimum import price scheme, to accord to Ireland treatment no less favourable than that accorded to any other country enjoying a similar of right duty-free access to the United Kingdom.

iv) The present arrangements with regard to the import into the United Kingdom of Irish bacon and pork, which in practice enable Ireland's total exports of pigmeat to be imported into the United Kingdom, will be continued.

Industrial products

i) The remaining UK import duties on goods originating in Ireland, affecting mainly textiles, will be removed with effect from 1st July, 1966.

ii) On the Irish side, import duties will be removed in ten equal annual instalments, beginning on 1st July, 1966, on most goods except jute and a number of agricultural items and agriculture-based products, which are excluded from free trade.

iii) With some exceptions, which in the case of Ireland are mainly agricultural, each country has agreed to remove quantitative restrictions on imports from the other—in the case of the United Kingdom when the agreement comes into force, and on the Irish side on the same date or, in the case of particular products, before the end of the period of transition to freer trade.

There is also provision in the agreement for the Irish Government to undertake, in the fifth year of the transitional period, a review of any difficulties experienced by Irish industry. This will enable the Government, in cases where exceptional difficulties are being experienced, to select a limited number of goods which may be excluded from free trade. Goods so excluded may represent up to 3 per cent in value of Ireland's total imports from the United Kingdom in the year preceding the review. Relief can also be provided at any time during the transitional period for a particular sector of industry or region if an appreciable rise in unemployment occurs, or is likely to occur, because of increased imports. Such relief can take the form of quantitative import restrictions, limited to eighteen months' duration, or, with the agreement of the British Government, an extension of the transitionary period for individual products by a maximum of six years.

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STATISTICAL ANNEX

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TABLE I. EXPENDITURE ON GROSS NATIONAL PRODUCT

	1958	1959	1960	1961	1962	1963	1964	1965 (EST.)
	a) £ MILLION AT CURRENT PRICES							
1. Consumers' expenditure	458.4	465.5	495.8	521.4	560.5	592.6	664	710
2. Public authorities' current expenditure	70.5	73.9	78.2	83.7	91.6	99.0	120	126
3. Gross fixed capital formation	79.9	82.8	89.8	108.7	128.9	149.0	176	198
of which: Private	68.2	70.2	76.9	92.6	111.2	128.5	153	
Public	11.7	12.6	12.9	16.1	17.7	20.5	23	
4. Change in stocks and work in progress	— 7.7	+ 22.2	+ 10.3	+ 7.9	+ 10.6	+ 11.3	+ 18	+ 25
5. Exports of goods and services[1,2]	208.8	216.9	241.0	277.8	280.9	308.7	348	362
6. Total use of resources	809.9	861.3	915.1	999.5	1,072.5	1,160.6	1,326	1,421
7. Less: Imports of goods and services[1,2]	221.6	237.7	254.6	289.9	307.5	343.4	392	419
8. Gross national product at market prices	588.3	623.6	660.5	709.6	765.0	817.2	934	1,002
	b) £ MILLION AT CONSTANT (1958) PRICES							
1. Consumers' expenditure	458.4	464.5	492.3	505.5	523.5	541.1	571	582
2. Public authorities' current expenditure	70.5	72.6	74.2	75.3	79.5	83.7	87	89
3. Gross fixed capital formation	79.9	83.5	88.9	104.4	119.5	136.9	154	169
of which: Private	68.2	70.7	76.1	89.1	103.5	118.5	135	
Public	11.7	12.8	12.8	15.3	16.0	18.4	19	
4. Change in stocks and work in progress	— 7.7	+ 22.9	+ 10.2	+ 7.6	+ 10.7	+ 10.8	+ 16	+ 22
5. Exports of goods and services[1,2]	208.8	212.3	237.7	272.9	269.7	290.5	307	309
6. Total use of resources	809.9	855.8	903.3	965.7	1,002,9	1,063.0	1,135	1,171
7. Less: Imports of goods and services[1,2]	221.6	242.1	255.3	287.0	302.9	332.6	374	391
8. Gross national product at market prices	588.3	613.7	648.0	678.7	700.0	730.4	761	780

1. Including income payments to and from rest of world.
2. The main difference between these figures and those appearing in official Irish publications is the exclusion of emigrants' remittances.

Source: Irish submission to OECD

Table II. PRODUCTION, EMPLOYMENT AND OTHER ECONOMIC INDICATORS

	1961	1962	1963	1964	1965	1964				1965			
						1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
1. Volume of agricultural output[1] *(1953 = 100)*	110.5	111.4	110.7	116.0									
2. Cattle numbers *(thousands, mid-year count)*	4,713	4,742	4,860	4,962	5,359								
3. Index of industrial production, transportable goods[5] *(1953 = 100)*	137.4	146.7	153.5	168.7		157.9	173.1	168.3	175.6	165.6	180.7	171.9	
of which:													
4. — mining and quarrying[5]	186.3	199.3	218.1	222.7		145.7	278.8	327.6	138.7	159.8	281.1	263	
5. — manufacturing[5]	135.1	144.2	150.9	166.1		157.8	168.5	161.7	176.4	165.2	176.3	176.8	
6. Employment in transportable goods industries[2,5] *(thousands)*	167.3	172.9	177.7	183.6		180.9	183.3	184.9	185.2	182.9	184.9	186.4	
7. Number of males engaged in farm work *(thousands, 1st June)*	380.0	360.8	354.9	344.3									
8. Unemployment (registered) *(thousands seasonally adjusted)*	47	47	50	48		48	48	49	47	48	48	52	52
9. Net outward passenger movement by sea and air[3] *(thousands)*	— 27	— 21	— 22	— 22		— 18	+ 11	— 37	+ 22	— 33	+ 23	— 38	
10. Average hours worked per week in transportable goods industries[4] *(number)*	44.6	44.5	44.6	44.2	44.0	44.0	44.6	44.2	44.3	43.5	44.0	44.0	
11. Value of average weekly retail sales *(1961 = 100)*	100	107	113	124		109	123	128	128	119	132	136	
12. New private cars registered for first time[5] *(thousands)*	28.6	31.9	37.0	41.4		10.1	12.9	10.2	8.2	12.8	13.9	10.6	

1. Net output, adjusted for stock changes, excluding turf.
2. Quaterly figures are for March, June, September and December. Annual figures are averages.
3. " + " indicates a net inward movement.
4. Annual figures are for September; quarterly figures relate to March, June, September and December.
5. For items 3, 4, 5 and 6 the 1964 figures are provisional; for item 12 the figures for 1965 are provisional.

Source: Irish Statistical Bulletin, and OECD Main Economic Indicators.

TABLE III. PRICES AND WAGES

	1961	1962	1963	1964	1965	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.
1. Consumer prices[1] *(mid-August 1953 = 100)*	120.2	125.3	128.4	137.0		131.9	137.1	138.8	140.3	141.8	144.3	144.8	
2. *Of which,* food prices[1] *(mid-August 1953 = 100)*	120.6	123.2	125.0	132.8	140.9	126.7	132.8	134.7	137.1	140.4	143.8	140.2	139.0
3. Wholesale prices *(1953 = 100)*	114.7	118.3	119.8	126.8		123.4	127.3	128.0	128.6	130.7	132.7	131.6	
4. Industrial prices *(1953 = 100)*	116.4	120.8	122.4	128.1		125.0	128.1	129.2	130.2	130.3	132.3		
of which:													
— simply transformed	106.1	107.1	107.4	110.1		108.1	109.5	110.7	112.1	111.3	111.7		
— more elaborately transformed	120.2	125.8	128.0	134.9		131.3	135.1	136.1	136.9	137.5	140.0		
5. Average hourly earnings in transportable goods industries[2] *(October 1953 = 100)*	145.3	164.4	169.8	191.9		182.8	191.9	191.9	193.5	192.9	196.8		
6. Agricultural prices *(1953 = 100)*	100.0	101.7	102.2	113.1		108.0	112.8	113.8	117.5	122.4	120.8		
7. Store cattle prices (1-2 year olds) (average monthly prices at fairs, £ per head)	36.3	39.3	38.9	45.4		42.2	45.4	47.2	47.7	51.5	50.4	48.2	49.9
8. Minimum weekly wages in agriculture[3] *(1953 = 100)*	134.7	150.3	150.3	178.2	178.2								

1. Quarterly figures for February, May, August and November.
2. Annual figures for September, others for March, June, September and December.
3. July in each year—annual figure.

Source: Irish Statistical Bulletin.

TABLE IV. MONEY AND BANKING

	1961	1962	1963	1964	1965	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.
1. Currency circulation[1] *(£ million, average of Saturdays)*	84.0	90.1	94.1	105.0	113.3	105.0	105.8	109.5	119.8	113.3	112.4	114.2	
2. Rediscount rate of Central Bank[2] *(per cent)*	5 9/16	3 55/64	3 63/64	6 13/16		4 35/64	4 11/16	4 57/64	6 13/16	6 13/16	5 59/64	5 27/32	
3. Price of 3.50 per cent Exchequer Bonds[3] *(per £ 100 stock)*	82.6	84.1	88.6	88.1	86.6	88.8	88.8	87.6	87.9	87.1	87.0	86.1	86.6
4. Price index number of ordinary stocks and shares *(1953 = 100)*	187.0	214.2	261.3	325.5	316.2	311.0	328.2	332.8	330.0	334.3	328.8	303.4	298.2
Commercial Banks[2]:													
5. Current accounts *(£ million)*	147.9	160.9	180.5	202.6		195.5	187.9	192.3	202.6	188.7	205.4	201.9	
6. Deposit accounts *(£ million)*	226.2	242.4	242.3	257.4		245.9	250.4	254.1	257.4	261.2	267.4	271.6	
7. Bills *(£ million)*	13.8	13.0	16.5	16.1		22.9	27.9	26.1	16.1	15.1	38.5	34.5	
8. Loans and advances *(£ million)*	199.2	218.7	238.1	274.0		244.0	260.1	262.3	274.0	282.9	290.3	282.2	
9. Net external assets *(£ million)*	111.4	115.1	101.9	93.4		98.1	86.7	94.4	93.4	83.5	76.2	83.9	
10. Central Bank ratio *(per cent)*[4]	31.8	30.2	27.0	23.4		26.4	23.6	24.9	23.4	21.4	17.7	20.9	

1. Annual figures for March, others for March, June, September and December.
2. End of period.
3. Annual figures are monthly averages, quarterly figures are for March, June, September and December.
4. The ratio of the associated banks' net external assets plus balances with the Central Bank, less bills rediscounted with the Central Bank, to their liabilities within the State on current and deposit accounts.

Source: Quarterly Bulletin of the Central Bank of Ireland, Irish Statistical Bulletin.

TABLE V. FOREIGN TRADE AND PAYMENTS

	1961	1962	1963	1964	1965	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.
1. Imports *(£ million, monthly average)*	21.8	22.8	25.6	29.0		29.2	30.2	27.3	29.3	31.1	33.0	29.6	30.1
2. Exports *(£ million, monthly average)*	15.0	14.5	16.3	18.5		18.6	17.7	19.1	18.7	16.7	16.1	21.1	20.6
3. Trade balance *(£ million, monthly average)*	— 6.7	— 8.3	— 9.2	— 10.5		— 10.7	— 12.5	— 8.1	— 10.6	— 14.4	— 17.0	— 8.5	— 9.6
4. Volume of imports[1] *(1953 = 100)*	130.9	137.2	151.3	170.0		169.7	174.5	157.0	168.2	178.3	187.4	168.3	
5. Volume of exports[1] *(1953 = 100)*	155.6	149.1	164.5	175.3		180.5	164.7	177.6	175.5	155.4	148.2	194.0	
6. Import prices[1] *(1953 = 100)*	107.7	107.6	109.4	110.4		111.5	111.9	112.3	112.6	112.9	114.1	113.9	
7. Export prices[1] *(1953 = 100)*	101.0	101.9	103.9	110.8		107.9	112.7	112.9	111.5	112.8	113.6	113.9	
8. Terms of trade *(1953 = 100)*	93.8	94.7	94.9	100.4		96.7	100.5	100.6	98.9	99.9	99.6	100.0	
9. Total external assets *(£ million, end of period)*	224.5	234.0	236.9	242.1		240.8	230.5	240.6	242.1	228.6	208.1	220.1	
of which:													
— Central Bank	95.9	104.3	119.4	147.9		127.3	140.5	145.4	147.9	144.3	131.1	135.4	
— Associated banks *(net)*	111.4	115.1	101.9	93.4		98.1	86.7	94.4	93.4	83.5	76.2	83.9	
— Departmental funds	17.2	14.6	15.6	0.8		15.4	3.3	0.8	0.8	0.8	0.8	0.8	

1. Quarterly figures are averages of three months.

Source: Irish Statistical Bulletin, Quarterly Bulletin of the Central Bank of Ireland.

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